from the United States, ten are from Europe, and six from Asia. Moreover, North American companies are increasing their share, up from 44 percent in 2013 to 68 percent in 2016.[91]

As may be expected in periods of rapid change, balanced assessments of China's future capabilities differ. A 2015 McKinsey report acknowledges that most emerging-market companies have yet to develop the kind of global footprint characteristic of multinationals from advanced economies.[92] For example, the overseas revenue of the top five Chinese companies is still less than 10 percent of total sales, compared with 30 to 70 percent of non-Chinese multinationals. If Chinese companies go global in a bigger way, in part through mergers and acquisitions (M&A) and also by acquiring talent and know-how in foreign markets, McKinsey reports that this could be one of the pathways to greater innovation, productivity, and competitiveness.[93]

Similarly, private companies, such as Alibaba, Tencent, Baidu, and Xiaomi, are likely to be motivated to become global leaders but are still relatively small in revenue in comparison to China's SOEs, which benefit from massive state support and are oligopolies at home.[94] Yet, for five years, China has had the world's second-largest number of *Fortune* Global 500 companies, rising from 46 in 2010 to 98 in 2015, while the United States has declined, going from 179 in 2000 to 139 in 2010 and 128 in 2015. Although China is expected to overtake the United States by 2020 in this ranking, China's top entries are mostly these large, state-owned banks or national champions, not global leaders. This is an important incentive for China to push back against U.S. and Western trade and financial discrimination rules against the Chinese style of state capitalism. Many Chinese analysts argue that the state's role in the economy gives China "a competitive advantage in the international market, thus undermining American interests," while also permitting large-scale intervention to mitigate crises.[95]

At the same time, China and the other BRICS must recognize the greater success of the private sector. For example, ExxonMobil's sales revenue was much less than Sinopec's, but its profits are at least six times the size.[96] Nonetheless, McKinsey persists in forecasting that "the next 10 to 15 years are likely to topple the long-established dominance of Western multinationals."[97]

Economic Prosperity and Geopolitical Influence

Given their rising economic capabilities and potential, key questions are whether China and its BRICS partners can convert economic prosperity into military and geopolitical influence, and whether there is any collective will to collaborate to this end. In an early important analysis of the implications of the rise of China, Richard Betts in 1993 estimated that China's GDP per capita needed only to reach about one-fourth of U.S. GDP per capita (in PPP terms) to equal total U.S. economic output.[98] In 2016, China had already reached the necessary figure of 23.4 percent, with a per capita GDP of $14,107, and had surpassed the United States in total output in PPP terms. In market exchange-rate, China's current GDP per capita of $7,990 is 14.3 percent of the U.S. level, and its economy is 61 percent of U.S. output. The turning point for India is similarly 24.9 percent, but India's 2016 per capita GDP is only $6,162, or 11 percent of the U.S. level, while its total GDP is 44 percent of U.S. output. None of the other BRICs countries has a realistic chance of matching the U.S. economy; with its current population size, Russia would need to achieve 220 percent of U.S. GDP per capita to equal the total U.S. GDP, while Brazil would need to achieve 157 percent. Moreover, given their rivalry, China and India are the least likely of the BRICS to see any benefit in military or geopolitical collaboration.

In light of China's growth, some realists question whether the regional balance of power is "up for grabs." Betts argued that the United States would be unable "to dominate East Asia militarily without paying costs that have been made unthinkable by the end of the Cold War."[99] More than two decades later, China has begun to assert its influence geopolitically in the East and South China Seas, building military outposts on disputed islands, and geoeconomically through the OBOR initiative, the Asian Infrastructure Investment Bank (AIIB), and the BRICS. Beijing has important interests to defend, including the annual $5.3 trillion commerce and oil imports accounting for 61 percent of its total consumption, which pass through the South China Sea to Chinese tanker ports. China does not fully accept the American defense of the sea lanes as an unmitigated public good, and its ambitions also seem to have expanded as its capabilities have grown.[100] Moreover, China is able to provide financial inducements to get its way. Similar points could be made about Russia's assertive behavior in the former Soviet space, although Russia's potential to convert economic power into geopolitical influence is declining in the long run.

Converting Economic Power into Military Capabilities? Regional Influence, Not Collective Action

Indicators of military strength are one measure of the BRICS' global standing, which in turn influences each member's potential for autonomy of maneuver and ability to backstop individual or collective policies in other arenas of statecraft, particularly in its respective region. However, aggregating the BRICS' defense budgets serves